

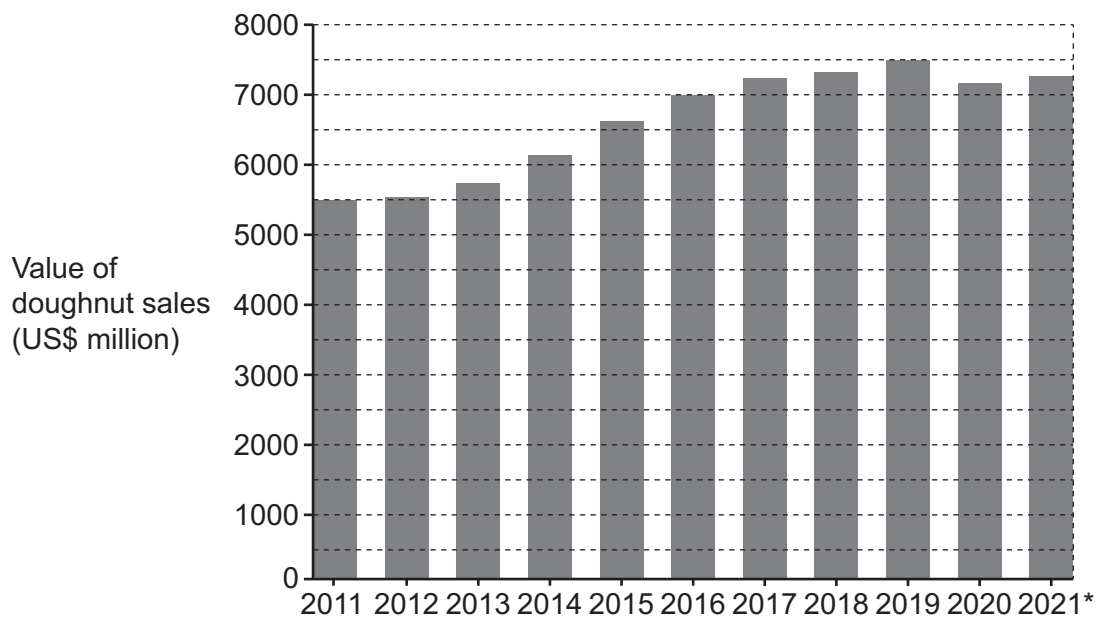
Test Yourself

Microeconomics

Market Failure

Are doughnuts demerit goods?

Consumers love to eat doughnuts. In 2019, 10 billion of these deep-fried sugar-coated products were consumed in the United States (US). Fig. 1.1 shows that the US market increased steadily from 2011 to 2019. Doughnuts are widely available throughout the US. There are specialist shops selling their branded products almost everywhere; local coffee shops invariably sell 'hole in one' doughnuts as a popular breakfast snack to tempt consumers on their way to work. The growing number of shops selling doughnuts has been an important reason behind overall market growth.



* Data for 2021 is estimated

Source: *ibisworld.com*, March 2021

Fig. 1.1 Doughnut market size in the US, 2011 to 2021

The COVID-19 pandemic has had a varying impact on the US doughnut market. Despite having less income, many consumers have continued to buy small luxuries such as doughnuts which remain affordable and can provide some short-term relief from the stresses of the pandemic. Overall, sales of doughnuts fell in 2020 and are forecast to remain below their 2019 peak into 2021. Reasons for this fall in demand are that consumers are making fewer shopping trips and in cities, more people are working from home and therefore not buying their daily coffee and doughnut snack.

In the United Kingdom (UK), more so than in the US, there are growing concerns about the increase in sugar consumption amongst children. This increase comes from soft drinks, chocolate biscuits and sweets (candy) as well as from jam-filled doughnuts, all of which are widely available in supermarkets and local convenience stores. In 2021, it was estimated that a third of teenagers and two thirds of adults in the UK were overweight. This has increased the pressure on the UK government to end online advertising of a range of products including doughnuts. It has been estimated that viewing one minute of advertising for products like doughnuts leads to a child consuming an additional 14.2 calories. Moreover, a ban on advertising sugary foods would result in children consuming the equivalent of 62 million fewer doughnuts a year in the UK.

- (a) Using the data in Fig. 1.1, calculate the percentage change in the value of sales of doughnuts in the US from 2011 to 2019. [2]
- (b) Explain **one** reason why the US market for doughnuts contracted in 2020. [2]
- (c) Comment on whether the demand for doughnuts in the US is income elastic or income inelastic. [2]
- (d) Explain why a doughnut might be regarded as a demerit good. [2]
- (e) With the help of a diagram, assess how the market for sugary foods in the UK might be affected by a ban on online advertising. [6]
- (f) Assess the likely effects on UK consumers and the UK government of a ban on online adverts for sugary foods. [6]

Section B

Duration of each question is **40 mins**

1. Assess whether education should be classified as a public good rather than classified as a merit good. (12) **q2b/21/M/J/23**
2. Explain why government intervention may be required to provide merit goods and consider why such intervention may not always be successful. (8) **q3a/23/M/J/23**
3. Explain why a government might decide to increase its direct provision of essential goods and services **and** consider whether such a policy is always likely to be successful. (8) **q3a/21/O/N/23**
4. With the help of examples, explain the difference between free goods and public goods **and** consider the view that public goods can never be provided in a market economy. (8) **q3a/22/O/N/23**
5. The provision of merit and demerit goods differs from the provision of other private goods. Assess the view that the consequences of imperfect information are more serious in a market economy than in a mixed economy. (12) **q3b/22/O/N/23**
6. Explain why the provision of bus and local rail (mass transit) services in cities is classified as a private good not a public good **and** consider why such services might only be provided by the private sector. (8) **q3a/23/O/N/23**
7. Assess whether bus and local rail systems in cities should receive substantial subsidies from governments. (12) **q3b/23/O/N/23**
8. With the aid of examples, explain the characteristics of public goods and free goods **and** consider whether free-of-charge vaccinations offered by a government should be classified as a free good. (8) **q2a/23/O/N/24**
9. Assess whether the expected benefits of providing healthcare services free of charge at the point of use exceed the likely costs. (12) **q2b/23/O/N/24**

10. With the use of examples, explain the difference between public goods and merit goods and consider whether markets will always provide enough of both goods. (8)
q2a/21/M/J/24
11. With the help of an example of each, explain the difference between a merit good and a demerit good and consider whether a subsidy given to a merit good will always be effective in increasing its consumption. (8) **q3a/22/M/J/24**
12. Assess whether fixing a minimum price is likely to be the best policy to reduce the consumption of a demerit good. (12) **q3b/22/M/J/24**
13. Explain the difference between a public good and a private good (economic good) and consider the extent to which a beach could be described as a public good. (8)
q3a/22/F/M/25
14. Assess the extent to which a subsidy is likely to be the best method to increase the consumption of a merit good. (12) **q3b/22/F/M/25**
15. Assess whether the improved provision of information is likely to be the best method to reduce the consumption of demerit goods. (12) **q2b/22/F/M/24**

Section C

Duration **30 mins**

1. A government gives free food to poor households in a community.

What is this food an example of?

- A** a free good
- B** a public good
- C** a demerit good
- D** a normal good

2. A government introduces an effective minimum price for a product but makes no other intervention in the market.

This policy suggests that the government's objective is

- A** to discourage consumption of a demerit good.
- B** to increase the consumption of a merit good.
- C** to reduce the price of a private good.
- D** to support the incomes of producers.

3. A government wishes to intervene in a free market to allocate healthcare at the socially optimal level.

Which combination correctly identifies the reason for government intervention in the healthcare market?

	healthcare consumption in a free market	healthcare production in a free market	provision of information in a free market
A	overconsumption	overproduction	too little
B	overconsumption	underproduction	too much
C	underconsumption	underproduction	too little
D	underconsumption	overproduction	too much

4. A government wishes to encourage the consumption of a merit good and reduce the consumption of a demerit good.

Which policy should it adopt towards each good?

	merit good	demerit good
A	impose a minimum price	produce only in the public sector
B	increase advertising on the benefits of the good	put legal controls on output
C	confine access to certain age groups	tax output
D	subsidise the good	set a minimum level of output

5. Which policy is most likely to solve the free rider problem caused by public goods?

- A** an advertising campaign
- B** a direct provision by the government
- C** a minimum price
- D** a tax on a substitute good

6. Which combination of government measures is most likely to increase the consumption of a merit good?

- A** setting an effective maximum price on the product and paying producers a subsidy
- B** setting an effective maximum price on the product and imposing an indirect tax on producers
- C** setting an effective minimum price on the product and paying producers a subsidy
- D** setting an effective minimum price on the product and imposing an indirect tax on producers

7. A country's health care is funded by taxation but can be used free of charge by patients.

Which type of good is health care in this country?

- A** demerit good
- B** free good
- C** private good
- D** public good

8. A government introduces charges for vehicles using the roads in its capital city.

Which characteristic must the roads have for this to be successful in reducing congestion?

- A The roads must be excludable.
- B The roads must be merit goods.
- C The roads must be non-rivalrous.
- D The roads must be public goods.

9. Some goods are over-consumed in a market economy.

What is likely to be the cause of this?

- A Consumer surplus exceeds producer surplus.
- B Consumers undervalue the benefits of consuming the goods.
- C There is excess supply in the market for the goods.
- D There is imperfect information in the market.

10. Consumers do not use enough of a product to maximise their private benefit because they have imperfect information about the product.

How would an economist classify this product?

- A demerit good
- B free good
- C merit good
- D public good

11. In many countries there are goods that must be provided directly by the government.

What would be the most convincing argument for such provision?

- A The consumption of these products may be beneficial.
- B The production of these products may be harmful.
- C The production of these products have high opportunity costs.
- D These products are non-rival in consumption and non-excludable.

12. What is **unlikely** to occur with an increase in the provision of public goods?

- A consumer non-excludability
- B improved use of resources
- C opportunity cost
- D reduction in tax

13. A local council provides a tap for drinking water in a town.

Would this make drinking water a free good?

- A No, because it is possible to exclude some people from using the tap.
- B No, because it requires the use of scarce resources.
- C Yes, because it is available to all passers-by.
- D Yes, because it is impossible to charge for it.

14. A government provided additional free hospital care to its citizens.

What happened as a result?

- A The supply of merit goods reduced.
- B The supply of merit goods increased.
- C The supply of private goods reduced.
- D The supply of public goods increased.

15. Why does the production of public goods have to be financed by the government?

- A One person's consumption of a public good means it is not available for anyone else.
- B People are able to consume public goods without paying for them.
- C Private sector firms will charge a price significantly above cost for public goods.
- D The cost of producing public goods is higher in the private sector.

Question	Answer	Marks
Follow the point-based marking guidance at the top of this mark scheme.		
1(a)	Using the data in Fig.1.1, calculate the percentage change in the value of sales of doughnuts in the US from 2011 to 2019. Extrapolation of data (1) Calculation of percentage change (1) Guidance: Data: 2011 cUSm 5500 2019 cUSm 7500 % change is $2000/5500 \times 100\% = 36\%$ (accept 35–38%)	2
1(b)(i)	Explain one reason why the US market for doughnuts contracted in 2020. • More workers working from home (1) • This has led to less employees in city centres, therefore less demand for doughnuts (1) • Shopping trips have been less frequent and therefore less demand for doughnuts (1) Maximum 2 marks	2
1(c)	Comment on whether the demand for doughnuts in the US is income elastic or income inelastic. • Identification that it is Income inelastic (1) • Sales of doughnuts have increased to some consumers despite them having a fall in income (1)	2
1(d)	Explain why a doughnut might be regarded as a demerit good. • Doughnuts are undesirable and over-provided by the market (1) • This is because of information failure and means that consumers are unlikely to be fully aware of the health dangers of eating an excessive amount of doughnuts(1)	2

Question	Answer	Marks
1(e)	With the help of a diagram, assess how the market for sugary foods in the UK might be affected by a ban on online advertising. • Up to 4 marks for explanation/analysis: Accurately labelled diagram showing a shift to the left in the market demand curve for sugary foods • Explanation why a ban on online advertising is likely to lead to a fall in demand for sugary foods • Analysis of the effects of the shift in terms of the change in price and level of demand • Some consumers may not be put off by the information provided in advertising • Sugary foods are cheap and take up only a small proportion of the income of an adult • Demand for sugary foods is likely to be price inelastic • Informal market could develop amongst younger adults/children For an analysis that explains the advantages/strengths of an online advertising ban (Up to 2 marks) For an analysis that explains the disadvantages/weaknesses of an online advertising ban (Up to 2 marks) Up to 2 marks for evaluation: For a brief comment such as • The change in demand will depend on the PED for sugary foods • Sugary foods is a diverse term-some types of product will be more affected than others • Few palatable substitutes are available • Manufacturers are likely to use other than online advertising to promote their products • Reserve 1 mark for a justified conclusion	6

Question	Answer	Marks
1(f)	Assess the likely effects on UK consumers and the UK government of a ban on online adverts for sugary foods. Up to 4 marks for explanation/analysis of any valid effects such as • Consumers, especially children, may be healthier/less obese • A wider range of alternative healthier snacks could become available • Reduced pressure on the NHS as less obese people • Educational standards and workplace productivity could improve • Could result in less tax revenue for government due to lower sales of sugary foods and reduced advertising from manufactures of sugary foods For an explanation of the benefits and costs of the likely effects on UK consumers and the government but with no explicit reference to the context of sugary foods (1 mark max) For an analysis that explains the benefits to UK consumers and the government of a ban on online adverts of sugary foods (Up to 2 marks) For an analysis that explains the costs to UK consumers and the government of a ban on online adverts of sugary foods (Up to 2 marks) Up to 2 marks for evaluation: • Uncertain impact of advertising ban • Not easy to measure impact on consumer demand or government revenue • Other forms of advertising will continue • Reserve 1 mark for a justified conclusion	6

SECTION B

Question	Answer	Marks
1	Assess whether education should be classified as a public good rather than classified as a merit good. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 8 marks. AO3 out of 4 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis - Education is classified as a merit good because it is a private good with the characteristics of being both rival and excludable; it can therefore be provided through a market because it is possible to charge a price for it, although it can also be provided by the state. - A public good is distinct from a private good because it has the characteristics of being both non-rival and non-excludable; it is therefore difficult, if not impossible, to charge a price for it due to the existence of the free rider problem; it therefore has to be provided by the state. AO3 Evaluation - Public goods can only be provided by the state. - Merit goods will be underprovided in the free market and governments should intervene to increase provision. - However, if the demand for education is extremely low in a country, when provided through a market, a government could decide to provide it entirely through the state. - In conclusion, education should be classified as a merit good rather than as a public good. Accept all valid responses.	12
	AO1 Knowledge and understanding and AO2 Analysis	8
	AO3 Evaluation	4

Question	Answer	Marks
2	Explain why government intervention may be required to provide merit goods and consider why such intervention may not always be successful. Follow the point-based marking guidance at the top of this mark scheme and award: up to 3 marks for AO1 Knowledge and understanding up to 3 marks for AO2 Analysis up to 2 marks for AO3 Evaluation. AO1 Knowledge and understanding (max 3 marks) Government intervention takes place when markets fail (1); nature of information failure (1) examples of merit goods (1) AO2 Analysis (max 3 marks) Application of reasons for government provision of merit goods to include essential nature of merit goods (1); private sector not willing to fully provide (1); problem of payment for merit goods (1) benefits in terms of society and the economy (1) Guidance; Award 1 mark for each example that is explained AO3 Evaluation (max 2 marks) • Governments may lack the resources to provide sufficient merit goods • Governments may not have enough information on which merit goods should be provided • Reserve 1 mark for a justified conclusion	8
	AO1 Knowledge and understanding	3
	AO2 Analysis	3
	AO3 Evaluation	2

Question	Answer	Marks
3	Explain why a government might decide to increase its direct provision of essential goods and services <u>and</u> consider whether such a policy is always likely to be successful. Follow the point-based marking guidance at the top of this mark scheme and award: up to 3 marks for AO1 Knowledge and understanding up to 3 marks for AO2 Analysis up to 2 marks for AO3 Evaluation. AO1 Knowledge and understanding (max 3 marks) An understanding of the role of the state in providing essential goods and services, such as merit goods (1); these could include education and health care (1) and they could be financed out of money received from taxation. (1) Guidance: Allow expenditure by a government on items such as food and shelter. AO2 Analysis (max 3 marks) Up to 2 marks for explaining each essential good or service that a government might decide to increase the direct provision of. Max: 3 marks Guidance: 2 marks for each well-explained essential good or service provided by the state and 1 mark for each essential good or service provided by the state with limited explanation. AO3 Evaluation (max 2 marks) Offers a valid judgement on whether an increase in a government's direct provision of essential goods and services will always be likely to be successful in achieving its objectives in an economy (1) to reach a conclusion. (1)	8
	AO1 Knowledge and understanding	3
	AO2 Analysis	3
	AO3 Evaluation	2

Question	Answer	Marks
4	With the help of examples, explain the difference between free goods and public goods <u>and</u> consider the view that public goods can never be provided in a market economy. Follow the point-based marking guidance at the top of this mark scheme and award: • up to 3 marks for AO1 Knowledge and understanding. • up to 3 marks for AO2 Analysis • up to 2 marks for AO3 Evaluation. AO1 Knowledge and Understanding (max 3 marks) Free goods are not scarce and have zero opportunity cost/no prices as no factors of production are required to produce them (1) Public goods have two main characteristics of non-excludability and non-rivalry with a brief explanation of both terms (1) Provide accurate examples of both e.g., fresh air and street lighting respectively (1) AO2 Analysis (max 3 marks) Explanation of why each of the two characteristics of public goods lead to the free rider problem (1 + 1) and why this makes it impossible/unrealistic to charge a price for them so the market economy would not supply them and therefore they must be provided by the government (1) AO3 Evaluation (max 2 marks) • Consideration of the view that pure public goods can never be provided in a market economy unless they are directly funded by the government (1) • Or could be considered to be quasi or semi-public goods in which case a price could be charged, and they could be provided by a market economy (1) • Reserve one mark for a justified conclusion (1)	8
	AO1 Knowledge and understanding	3
	AO2 Analysis	3
	AO3 Evaluation	2

Question	Answer	Marks
5	The provision of merit and demerit goods differs from the provision of other private goods. Assess the view that the consequences of imperfect information are more serious in a market economy than in a mixed economy. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 8 marks. AO3 out of 4 marks. Indicative content: responses may include: AO1 Knowledge and understanding and AO2 Analysis • An analysis of how private goods (which include merit and demerit goods) are allocated within an economy through the demand and supply mechanism. • An explanation of the existence of imperfect information with respect to merit and demerit goods and the associated problems of under or overconsumption. • An explanation of how this is likely to lead different methods of allocation for both merit and demerit goods than for other private goods, (how other private goods are allocated and how this differs from the provision of merit and demerit goods and any other problems that may be associated with their allocation.) • Analysis should consider the consequences of imperfect information in both a market and a mixed economy for the provision of merit and demerit goods compared to other private goods. • Answers which do not compare the provision of merit/demerit goods in both a market economy and a mixed economy cannot gain more than L2. AO3 Evaluation Points to consider include. • Merit goods and demerit goods need government intervention because of the issues of under and over consumption due to imperfect information, so the market economy fails to operate efficiently. • Other types of private good can be efficiently provided by the market economy without government intervention but the process of allocation may mean e.g., low-income groups do not have the same access to certain goods. • Leading to a justified conclusion answering the question of whether the consequences of imperfect information are more serious in a market economy than a in mixed economy. Accept all valid responses. A one-sided response cannot gain any marks for evaluation.	12
	AO1 Knowledge and understanding and AO2 Analysis	8
	AO3 Evaluation	4

Question	Answer	Marks
6	Explain why the provision of bus and local rail (mass transit) services in cities is classified as a private good and not a public good <u>and</u> consider why such services might only be provided by the private sector. Follow the point-based marking guidance at the top of this mark scheme and award: - up to 3 marks for AO1 Knowledge and understanding up to 3 marks for AO2 Analysis - up to 2 marks for AO3 Evaluation. AO1 Knowledge and understanding (max 3 marks) - Explanation of what is meant by excludability/non excludability (1) - Explanation of what is meant by rivalry/non rivalry (1) - Correct application to private and public goods (1) AO2 Analysis (max 3 marks) - Why is a mass transit service a private good with reference to both characteristics and therefore only provided by the private sector? (up to 2 marks) - Why is a mass transit service not a public good with reference to both characteristics and therefore not provided by the public sector? (up to 2 marks) AO3 Evaluation (max 2 marks) - Assessment of whether a mass transit service might only be provided by the private sector with 1 mark reserved for a justified conclusion.	8
	AO1 Knowledge and understanding	3
	AO2 Analysis	3
	AO3 Evaluation	2

Question	Answer	Marks
7	Assess whether bus and rail (mass transit) systems in cities should receive substantial subsidies from governments. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 8 marks. AO3 out of 4 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis: • Explanation of what is meant by a subsidy (reward accurate diagrams if provided but these are not necessary) with reference to the impact on price and quantity. • Likely advantages of a subsidy for mass transit systems e.g., it can be considered a merit good that helps lower income families, improves labour mobility, reduces road congestion, and improves air quality/reduces the use of private cars which may be considered to be a demerit good. • Likely disadvantages of subsidies e.g., opportunity cost, poor decisions as a result of information failure, government inability to provide funding etc. • If only 1 sided answer i.e., only advantages or disadvantages are discussed, then L2 maximum. AO3 Evaluation • For an evaluation of the relative importance of the advantages and disadvantages of subsidies that leads to a justified conclusion Accept all valid responses. A one-sided response cannot gain any marks for evaluation.	12
	AO1 Knowledge and understanding and AO2 Analysis	8
	AO3 Evaluation	4

Question	Answer	Marks
8	With the aid of examples, explain the characteristics of public goods and free goods <u>and</u> consider whether free-of-charge vaccinations offered by a government should be classified as a free good. Follow the point-based marking guidance at the top of this mark scheme and award: up to 3 marks for AO1 Knowledge and understanding, up to 3 marks for AO2 Analysis, and up to 2 marks for AO3 Evaluation. AO1 Knowledge and Understanding (max 3 marks) - Free goods are not scarce and have zero opportunity cost / no prices as no factors of production are required to produce them (1). - Public goods have two main characteristics of non-excludability and non-rivalry with a brief explanation of both terms (1). - Provide accurate examples of both e.g., fresh air and street lighting respectively (1). AO2 Analysis (max 3 marks) - For example, the vaccine is free at the point of use to the consumer (1). However, there is a cost to the taxpayer (1). This means that there is an opportunity cost to the government as providing the vaccine involves the use of scarce resources (1). Alternative approach: - If governments provide free-of-charge vaccinations, then there is no price charged to the consumer (1). This means consumers do not need to use their own scarce resources to be vaccinated (1) which means there is no opportunity cost to them because they do not need to make a choice between 'consuming' the vaccine and reducing their consumption of other goods and services (1). AO3 Evaluation (max 2 marks) - Up to 2 marks for evaluating whether or not free-to-charge vaccinations offered by a government can be considered a free good. For example, there is an opportunity cost to the government as the money spent on buying the vaccine might have been used for spending on another priority e.g. education.	8
	AO1 Knowledge and understanding	3
	AO2 Analysis	3
	AO3 Evaluation	2

Question	Answer	Marks
9	Assess whether the expected benefits of providing healthcare services free-of-charge at the point of use exceed the likely costs. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 8 marks. AO3 out of 4 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis Potential benefits of providing healthcare services free-of-charge at the point of use include: • It addresses concerns on affordability/inequality to access health care, insurance and information gaps e.g. preventative earlier treatments for elderly and children. • It may also avoid a potential loss of output resulting from worker absenteeism. It increases the likelihood of resources being prioritised to patient need as opposed to profit. Potential disadvantages from providing healthcare services free-of-charge at the point of use include: • Demand may exceed supply which may result in increased costs to governments. • Charging consumers will reduce on wastage in terms of 'missed' medical appointments; potential for health inequality resulting in income inequality. • Private firms may be more efficient in providing the healthcare services required in the quantities and regions required. The opportunity cost to the government in terms of reduced spending on roads etc. Level 1 responses will be assertive and lacking in explanations / mainly descriptive and/or or mainly lacking in relevance to the question. Level 2 responses may contain some inaccuracies and may be one sided. Analysis will be explained at least in part and will be largely relevant to the question. Level 3 responses will consider alternative policies / concepts etc. and will be balanced. Explanations of points raised will be offered and will be accurate and relevant to the question.	12

Question	Answer	Marks
9	AO3 Evaluation - Requires an assessment of whether or not the expected benefits of providing healthcare free of charge at the point of use exceed the likely costs which leads to - A justified conclusion which may include alternative approaches including a mixture of free and chargeable healthcare. Note: A one-sided response cannot gain any marks for evaluation.	
	AO1 Knowledge and understanding and AO2 Analysis	8
	AO3 Evaluation	4

Question	Answer	Marks
10	With the use of examples, explain the difference between public goods and merit goods and consider whether markets will always provide enough of both goods. Follow the point-based marking guidance at the top of this mark scheme and award: up to 3 marks for AO1 Knowledge and understanding up to 3 marks for AO2 Analysis up to 2 marks for AO3 Evaluation. AO1 Knowledge and Understanding (max 3 marks) - For the use of accurate examples of BOTH merit goods and public goods (1). - For clearly explaining the characteristics of public goods i.e., non-rivalry and non-excludable (1). - For clearly explaining the characteristics of merit goods i.e., better than people realise and under consumed / underproduced due to information failure (1). AO2 Analysis (max 3 marks) - A market economy is less likely to produce enough of both goods due to the lack of a profit motive unless heavily subsidised. - A mixed economy may produce enough due to government involvement and the welfare motive but may be constrained by limits on government spending. Note: Analysis should consider at least 2 markets. If only 1 market is analysed, then 2 marks maximum for analysis and 0 for evaluation. AO3 Evaluation (max 2 marks) Offers a valid evaluation of whether enough of both types of good can be produced in at least 2 markets (1) reaching a valid conclusion (1).	8
	AO1 Knowledge and understanding	3
	AO2 Analysis	3
	AO3 Evaluation	2

Question	Answer	Marks
11	With the help of an example of each, explain the difference between a merit good and a demerit good <u>and</u> consider whether a subsidy given to a merit good will always be effective in increasing its consumption. Follow the point-based marking guidance at the top of this mark scheme and award: up to 3 marks for AO1 Knowledge and understanding up to 3 marks for AO2 Analysis up to 2 marks for AO3 Evaluation. AO1 Knowledge and Understanding (max 3 marks) A merit good is thought to be desirable but is underprovided / underconsumed due to information failure/a lack of awareness/better than is realised (1) whereas a demerit good is thought to be undesirable but is overprovided / overconsumed due to information failure/a lack of awareness/worse than is realised (1) Third mark to be awarded for valid examples of both a merit and a demerit good. (1) AO2 Analysis (max 3 marks) • Points to consider: • A subsidy may encourage poorer households to consume more merit goods as the reason for underconsumption may be unaffordability as it reduces the price of merit goods. (1) • However, quantity demanded may be price inelastic meaning it is less responsive to price changes so quantity demanded will be less responsive to the change in price/the rise in quantity demanded would be less than the decrease in price. (1) • The problem of information failure persists meaning that consumers remain unaware of the benefits and therefore do not increase consumption, regardless of the fall in price. (1) AO3 Evaluation (max 2 marks) • For a balanced evaluation of whether a subsidy will always be effective with 1 mark reserved for a justified conclusion. Please use a text box to show the mark split e.g., 2,2,1	8
	AO1 Knowledge and understanding	3
	AO2 Analysis	3
	AO3 Evaluation	2

Question	Answer	Marks
12	Assess whether fixing a minimum price is likely to be the best policy to reduce the consumption of a demerit good. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 8 marks. AO3 out of 4 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis • Use of minimum pricing to increase the price of the demerit good and reduce consumption. • Problems of using minimum pricing may include discussions around inelastic PED, problem of information failure persists, informal markets may appear etc. • Alternative policies that may be considered include increasing indirect taxes, education, provision of information and analysis should focus on the advantages and disadvantages of such policies in reducing the consumption of demerit goods. • Points to consider will include ease of introducing the policy, time and cost, reception by consumers etc. • Accept any valid policies but the analysis must focus on how they may reduce the consumption of demerit goods and discuss their advantages and disadvantages. Level 1 responses will be assertive and lacking in explanations / mainly descriptive and/or or mainly lacking in relevance to the question. Level 2 responses may contain some inaccuracies and will be one sided. Analysis will be explained at least in part and will be largely relevant to the question. Level 3 responses will consider alternative policies / concepts etc. and will be balanced. Explanations of points raised will be offered and will be accurate and relevant to the question. AO3 Evaluation • Requires an assessment of at least one other policy to be compared against minimum pricing policy which leads to • A justified conclusion as to whether a minimum pricing is the best policy to reduce the consumption of demerit goods. A one-sided response cannot gain any marks for evaluation. Please use a text box to show the mark split e.g., L2 5 L1 2	12
	AO1 Knowledge and understanding and AO2 Analysis	8
	AO3 Evaluation	4

Question	Answer	Marks
13	Explain what is meant by a public good and a private good (economic good) and consider the extent to which a beach could be described as public good. Follow the point-based marking guidance at the top of this mark scheme and award: up to 3 marks for AO1 Knowledge and understanding up to 3 marks for AO2 Analysis up to 2 marks for AO3 Evaluation. AO1 Knowledge and Understanding (max 3 marks) A public good is thought to be one that would not be provided in the free-market due to the free-rider problem (1). This due to the fact that it is both non-rivalrous (one person's consumption does not reduce the amount available for the consumption of other) (1), and non-excludable (once the good is provided, it is not possible to exclude others from benefitting (1). The differs from a private good which is thought to be both rivalrous and excludable (1). AO2 Analysis (max 3 marks) A beach could be described as non-rivalrous as one person on a beach does not reduce the amount of beach available for others to enjoy (1). It is also non-excludable because once a public beach is provided others cannot be prevented from using it (1). There is no opportunity cost to the general public (1). AO3 Evaluation (max 2 marks) One mark for a valid explanation that the beach may be rivalrous if significant numbers visit it (1)/ if the beach is a private beach then a cost may be charged to consumers making it excludable (1). The second mark is for a justified conclusion. Please use a text box to show the mark split e.g., 3 1 1	8
	AO1 Knowledge and understanding	3
	AO2 Analysis	3
	AO3 Evaluation	2

Question	Answer	Marks
14	Assess whether a subsidy is likely to be the best method to increase the consumption of merit goods. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 8 marks. AO3 out of 4 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis The meaning of the terms subsidy/merit goods An explanation of how a subsidy would reduce the costs of production which would, in turn, reduce the price and increase the quantity demanded. An explanation of potential problems from using subsidies – opportunity cost of increased government spending, increased dependency, incorrect targeting, when to remove provision. An explanation of alternative methods e.g improved information but the analysis must focus on how the method would increase the consumption of merit goods. Accept any valid policies but the analysis must focus on how they may increase the consumption of merit goods and discuss their advantages and disadvantages. Level 1 responses will be assertive and lacking in explanations / mainly descriptive and/or or mainly lacking in relevance to the question. Level 2 responses may contain some inaccuracies and will be one sided. Analysis will be explained at least in part and will be largely relevant to the question. Level 3 responses will consider alternative policies / concepts etc. and will be balanced. Explanations of points raised will be offered and will be accurate and relevant to the question. AO3 Evaluation Consideration that fully assesses the relative effectiveness of subsidies with at least one other method and arrives at a reasoned conclusion - for example, the relevance of elasticities of demand A justified conclusion as to whether introducing subsidies is the best method to increase the consumption of merit goods. A one-sided response cannot gain any marks for evaluation. Please use a text box to show the levels applied and mark split e.g., L3 6 L1 2 Accept all valid responses.	12
	AO1 Knowledge and understanding and AO2 Analysis	8
	AO3 Evaluation	4

Question	Answer	Marks
15	Assess whether the improved provision of information is likely to be the best method to reduce the consumption of demerit goods. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 8 marks. AO3 out of 4 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis • The meaning of improved provision of information • How improved information would reduce the consumption of demerit goods; consumers are aware of the 'true' costs from consuming demerit goods and respond by reducing their demand – this may include a shift to the left of the demand curve, or a shift to left of the MPC curve • An explanation of the limitations of improved information – habitual consumption, peer pressure, irrational behaviour • An explanation of an alternative policy – taxation, minimum prices, regulation backed by fines. AO3 Evaluation • Consideration that fully assesses the relative effectiveness of the policies analysed in reducing the consumption of demerit goods and arrives at a reasoned conclusion concerning whether improved provision of information is the 'best' approach. Accept all valid responses.	12
	AO1 Knowledge and understanding and AO2 Analysis	8
	AO3 Evaluation	4

SECTION C

1.	D	11.	D
2.	A	12.	D
3.	C	13.	B
4.	B	14.	B
5.	B	15.	B
6.	A		
7.	C		
8.	A		
9.	D		
10.	C		